APPRAISAL REPORT

Newport Assisted Living | Detroit, MI

Subject Property	Newport Assisted Living
Address	4473 Technology Drive, Detroit, MI 84255
Property Rights Appraised	Fee Simple
Effective Date of Value	April 21, 2019
Market Value Conclusion	$20,500,000

Demographics and Employment

Dining, housekeeping, transportation and activities programming are included in the base fee. Median household income within a 1-mile radius of the property is approximately $160,000 and has grown 6.5% annually. Average monthly revenue per occupied unit is $5,258, inclusive of base rent and levels of care. Investor demand for Senior Housing assets in Detroit remains strong with recent trades at capitalization rates between 8.11% and 8.11%.

Market vacancy for comparable Senior Housing product stands at 13.5%, down from 4.1% two years ago. Employment growth is led by healthcare, logistics, education and professional services sectors. Newport Assisted Living is located in Detroit, MI, a market that has recorded 2.8% population growth over the last five years. The Detroit Senior Housing market has experienced absorption of 4500 thousand square feet or equivalent units over the trailing twelve months, outpacing new deliveries. Dining, housekeeping, transportation and activities programming are included in the base fee.

Site Description

Surrounding land uses include residential, commercial and light industrial properties of similar vintage. Utilities, including electric, natural gas and telecommunications, are available to the site from the street. The site contains approximately 30.30 acres and is generally level with frontage along Technology Drive. The site is not located within a designated 100-year floodplain according to the FEMA flood map in effect.

Utilities, including electric, natural gas and telecommunications, are available to the site from the street. Surrounding land uses include residential, commercial and light industrial properties of similar vintage. The site contains approximately 13.13 acres and is generally level with frontage along Technology Drive. The site is not located within a designated 100-year floodplain according to the FEMA flood map in effect. Soils are typical of the region and no evidence of unsuitable conditions was observed at the time of inspection.

Supply and Demand

Dining, housekeeping, transportation and activities programming are included in the base fee. The community provides assisted living and memory care services under a state-issued license with 21 full-time caregivers per shift. Median household income within a 9-mile radius of the property is approximately $221,000 and has grown 12.2% annually. The Detroit Senior Housing market has experienced absorption of 1400 thousand square feet or equivalent units over the trailing twelve months, outpacing new deliveries.

The community provides assisted living and memory care services under a state-issued license with 31 full-time caregivers per shift. New construction starts have decelerated due to higher financing costs and tighter lending standards, which supports the existing supply. Market vacancy for comparable Senior Housing product stands at 9.4%, down from 4.8% two years ago. Average monthly revenue per occupied unit is $5,258, inclusive of base rent and levels of care.

Topography and Flood Zone

The site contains approximately 22.22 acres and is generally level with frontage along Technology Drive. Access to the site is provided by 16 curb cuts and the property is served by municipal water and sanitary sewer. Soils are typical of the region and no evidence of unsuitable conditions was observed at the time of inspection. Surrounding land uses include residential, commercial and light industrial properties of similar vintage.

The site contains approximately 21.21 acres and is generally level with frontage along Technology Drive. Access to the site is provided by 40 curb cuts and the property is served by municipal water and sanitary sewer. The site is not located within a designated 100-year floodplain according to the FEMA flood map in effect. Surrounding land uses include residential, commercial and light industrial properties of similar vintage. Soils are typical of the region and no evidence of unsuitable conditions was observed at the time of inspection.

Demographics and Employment

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Demographics and Employment

Occupancy stands at 90.0% with an average resident length of stay of 12 years. Median household income within a 5-mile radius of the property is approximately $8,000 and has grown 11.6% annually. Investor demand for Senior Housing assets in Detroit remains strong with recent trades at capitalization rates between 7.52% and 7.52%. New construction starts have decelerated due to higher financing costs and tighter lending standards, which supports the existing supply. The community provides assisted living and memory care services under a state-issued license with 4 full-time caregivers per shift.

The Detroit Senior Housing market has experienced absorption of 1800 thousand square feet or equivalent units over the trailing twelve months, outpacing new deliveries. Median household income within a 5-mile radius of the property is approximately $398,000 and has grown 7.3% annually. Average monthly revenue per occupied unit is $5,258, inclusive of base rent and levels of care. Rent growth in the submarket has averaged 5.5% annually over the past 6 years.

Topography and Flood Zone

The site is not located within a designated 100-year floodplain according to the FEMA flood map in effect. Soils are typical of the region and no evidence of unsuitable conditions was observed at the time of inspection. Surrounding land uses include residential, commercial and light industrial properties of similar vintage. Utilities, including electric, natural gas and telecommunications, are available to the site from the street. Access to the site is provided by 6 curb cuts and the property is served by municipal water and sanitary sewer.

Soils are typical of the region and no evidence of unsuitable conditions was observed at the time of inspection. The site contains approximately 16.16 acres and is generally level with frontage along Technology Drive. Surrounding land uses include residential, commercial and light industrial properties of similar vintage. The site is not located within a designated 100-year floodplain according to the FEMA flood map in effect.

Market Overview

Newport Assisted Living is located in Detroit, MI, a market that has recorded 10.5% population growth over the last five years. Rent growth in the submarket has averaged 7.1% annually over the past 5 years. New construction starts have decelerated due to higher financing costs and tighter lending standards, which supports the existing supply. Dining, housekeeping, transportation and activities programming are included in the base fee. Employment growth is led by healthcare, logistics, education and professional services sectors. The community provides assisted living and memory care services under a state-issued license with 18 full-time caregivers per shift.

Investor demand for Senior Housing assets in Detroit remains strong with recent trades at capitalization rates between 7.21% and 7.21%. Occupancy stands at 92.6% with an average resident length of stay of 3 years. Market vacancy for comparable Senior Housing product stands at 12.6%, down from 7.1% two years ago. Rent growth in the submarket has averaged 5.7% annually over the past 8 years. Dining, housekeeping, transportation and activities programming are included in the base fee. Average monthly revenue per occupied unit is $5,258, inclusive of base rent and levels of care.

Topography and Flood Zone

The site is not located within a designated 100-year floodplain according to the FEMA flood map in effect. The site contains approximately 28.28 acres and is generally level with frontage along Technology Drive. Surrounding land uses include residential, commercial and light industrial properties of similar vintage. Utilities, including electric, natural gas and telecommunications, are available to the site from the street. Soils are typical of the region and no evidence of unsuitable conditions was observed at the time of inspection. Access to the site is provided by 23 curb cuts and the property is served by municipal water and sanitary sewer.

Utilities, including electric, natural gas and telecommunications, are available to the site from the street. Soils are typical of the region and no evidence of unsuitable conditions was observed at the time of inspection. Access to the site is provided by 15 curb cuts and the property is served by municipal water and sanitary sewer. The site is not located within a designated 100-year floodplain according to the FEMA flood map in effect. Surrounding land uses include residential, commercial and light industrial properties of similar vintage.

Demographics and Employment

Rent growth in the submarket has averaged 5.9% annually over the past 9 years. Median household income within a 7-mile radius of the property is approximately $278,000 and has grown 4.2% annually. Occupancy stands at 93.2% with an average resident length of stay of 7 years. Employment growth is led by healthcare, logistics, education and professional services sectors.

Newport Assisted Living is located in Detroit, MI, a market that has recorded 10.0% population growth over the last five years. New construction starts have decelerated due to higher financing costs and tighter lending standards, which supports the existing supply. Employment growth is led by healthcare, logistics, education and professional services sectors. Investor demand for Senior Housing assets in Detroit remains strong with recent trades at capitalization rates between 6.66% and 6.66%.

Site Description

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Building Systems

Life-safety systems include a fully sprinklered building, addressable fire alarm panel and emergency lighting. Dining, housekeeping, transportation and activities programming are included in the base fee. Average monthly revenue per occupied unit is $5,258, inclusive of base rent and levels of care. The roof is a 12-year membrane system with an estimated remaining useful life of 7 years.

Life-safety systems include a fully sprinklered building, addressable fire alarm panel and emergency lighting. Occupancy stands at 90.2% with an average resident length of stay of 11 years. Mechanical systems include rooftop package units and central plant equipment of varying age. Common area interiors have been refreshed within the last 8 years and are in average to good condition. Newport Assisted Living was originally constructed in 1968 and consists of 84 units in a building of 3 stories. The community provides assisted living and memory care services under a state-issued license with 11 full-time caregivers per shift.

Construction Details

Newport Assisted Living was originally constructed in 1968 and consists of 84 units in a building of 48 stories. Exterior finishes comprise brick veneer, fiber-cement siding and aluminum storefront glazing in good condition. The roof is a 29-year membrane system with an estimated remaining useful life of 6 years. Average monthly revenue per occupied unit is $5,258, inclusive of base rent and levels of care. Occupancy stands at 92.4% with an average resident length of stay of 5 years.

Occupancy stands at 89.3% with an average resident length of stay of 11 years. Common area interiors have been refreshed within the last 8 years and are in average to good condition. The community provides assisted living and memory care services under a state-issued license with 33 full-time caregivers per shift. Exterior finishes comprise brick veneer, fiber-cement siding and aluminum storefront glazing in good condition.

Building Systems

Occupancy stands at 96.7% with an average resident length of stay of 7 years. The roof is a 22-year membrane system with an estimated remaining useful life of 6 years. Newport Assisted Living was originally constructed in 1968 and consists of 84 units in a building of 29 stories. Life-safety systems include a fully sprinklered building, addressable fire alarm panel and emergency lighting. Common area interiors have been refreshed within the last 7 years and are in average to good condition. The community provides assisted living and memory care services under a state-issued license with 32 full-time caregivers per shift.

Occupancy stands at 96.6% with an average resident length of stay of 7 years. Dining, housekeeping, transportation and activities programming are included in the base fee. The structure is of wood-frame, masonry and steel-frame construction on a slab-on-grade foundation. The community provides assisted living and memory care services under a state-issued license with 36 full-time caregivers per shift.

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Sales Comparison Data

Comparable	Location	Sale Date	Size	Price	$/Unit or SF	Cap Rate	Yr Built
Windmill Senior Living	Nashville, TN	08/08/2022	59	$16,128,585	$192,007	6.51%	1968
Redwood Manor	Chicago, IL	05/19/2026	61	$12,025,634	$143,162	7.27%	1995
Birchwood Senior Living	Jacksonville, FL	12/23/2022	64	$10,328,185	$122,955	8.04%	1984
Nautilus Assisted Living	Baltimore, MD	07/14/2023	82	$8,543,855	$101,713	7.90%	2019
Timberline Manor	Baltimore, MD	01/21/2025	115	$10,012,271	$119,194	6.97%	1967
Raven Manor	Sacramento, CA	06/23/2024	42	$28,461,666	$338,829	5.35%	1993
Sterling Manor	Cleveland, OH	05/16/2026	83	$26,896,200	$320,193	5.92%	1994
Brookside Manor	Boston, MA	03/20/2023	66	$12,432,877	$148,010	7.97%	2007
Canyon Gardens	Kansas City, MO	11/06/2022	99	$24,164,827	$287,677	6.71%	2000
Keystone Manor	Albany, NY	12/11/2023	73	$8,522,110	$101,454	7.75%	2006
Aspen Gardens	Raleigh, NC	06/22/2023	87	$17,500,355	$208,338	6.26%	1970
Marlow Assisted Living	Sacramento, CA	03/03/2022	112	$28,578,418	$340,219	6.29%	1970
Jasper Manor	Orlando, FL	06/22/2024	99	$28,242,954	$336,226	5.57%	1994
Thornton Assisted Living	Orlando, FL	03/08/2026	117	$9,235,335	$109,944	5.94%	2013
Elmhurst Manor	Milwaukee, WI	05/19/2022	56	$25,548,351	$304,147	7.39%	2022
Beacon Senior Living	Houston, TX	09/10/2025	83	$26,130,525	$311,078	6.33%	1980
Brookside Assisted Living	Kansas City, MO	11/12/2024	87	$23,397,620	$278,543	8.09%	1999
Upland Manor	Madison, WI	08/06/2023	74	$16,688,447	$198,672	7.00%	2012
Brookside Senior Living	Charlotte, NC	03/16/2025	89	$25,640,257	$305,241	6.72%	2019
Falcon Assisted Living	St. Louis, MO	05/11/2026	50	$25,575,955	$304,476	6.47%	2003
Glenview Senior Living	Boise, ID	08/10/2023	51	$23,165,475	$275,779	6.33%	1978
Upland Gardens	Louisville, KY	11/10/2022	119	$10,812,684	$128,722	5.72%	2016
Gatewood Assisted Living	Houston, TX	05/27/2024	84	$11,561,565	$137,638	7.41%	2020
Whitaker Manor	Memphis, TN	09/22/2023	50	$10,705,613	$127,448	7.22%	1989
Garnet Gardens	Denver, CO	12/08/2025	72	$14,176,495	$168,768	5.29%	2017
Everett Assisted Living	Denver, CO	02/02/2025	63	$8,227,073	$97,941	7.06%	2021
Onyx Assisted Living	Jacksonville, FL	07/02/2025	44	$25,435,079	$302,799	5.90%	2018
Dover Assisted Living	Boise, ID	05/06/2025	61	$24,502,833	$291,700	5.73%	1985
Hollis Senior Living	Tampa, FL	08/30/2026	77	$10,789,350	$128,445	7.49%	2001
Amberly Senior Living	Sacramento, CA	08/20/2024	85	$8,206,946	$97,702	5.50%	1990
Prairie Gardens	Nashville, TN	03/08/2024	117	$26,174,857	$311,605	5.39%	1970
Elmhurst Senior Living	Grand Rapids, MI	01/22/2023	91	$25,823,568	$307,423	7.85%	1965
Ivy Manor	Philadelphia, PA	09/02/2024	106	$26,747,586	$318,424	7.99%	1990
Ashford Senior Living	Memphis, TN	02/03/2025	116	$12,360,051	$147,143	5.79%	2001
Ashford Gardens	Houston, TX	06/06/2025	86	$22,214,464	$264,458	6.73%	1970
Parkview Senior Living	San Diego, CA	08/08/2024	60	$21,936,294	$261,146	5.24%	1993
Cypress Gardens	Detroit, MI	11/03/2025	71	$9,583,583	$114,090	5.51%	2004
Heritage Manor	Columbus, OH	10/29/2022	69	$20,812,604	$247,769	5.09%	1982
Summit Assisted Living	Norfolk, VA	06/13/2022	61	$25,035,180	$298,038	5.23%	1970
Mesa Senior Living	Richmond, VA	09/04/2022	48	$21,689,357	$258,207	5.24%	2016
Dunmore Gardens	Savannah, GA	05/20/2026	101	$9,256,738	$110,199	7.64%	1998

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Operating Performance

Effective gross income for the trailing period was $159,000, representing a 6.1% increase over the prior year. Debt service coverage ratio was 5.87x on a trailing basis against a covenant minimum of 1.20x. Net operating income is projected to grow at a compound annual rate of 6.7% over the hold period. The going-in capitalization rate of 5.28% reflects the in-place income and the stabilized occupancy assumption.

Effective gross income for the trailing period was $408,000, representing a 5.0% increase over the prior year. Operating expenses totaled $285,000 or approximately 35.93 per square foot, with real estate taxes representing the largest line item. Management fees are calculated at 4.4% of collected revenue and are included in operating expenses. The going-in capitalization rate of 5.74% reflects the in-place income and the stabilized occupancy assumption.

Valuation Discussion

Debt service coverage ratio was 5.83x on a trailing basis against a covenant minimum of 1.20x. Net operating income is projected to grow at a compound annual rate of 7.2% over the hold period. Effective gross income for the trailing period was $124,000, representing a 6.7% increase over the prior year. Average monthly revenue per occupied unit is $5,258, inclusive of base rent and levels of care.

Occupancy stands at 93.2% with an average resident length of stay of 10 years. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Management fees are calculated at 5.7% of collected revenue and are included in operating expenses. Dining, housekeeping, transportation and activities programming are included in the base fee.

Valuation Discussion

Management fees are calculated at 3.6% of collected revenue and are included in operating expenses. The community provides assisted living and memory care services under a state-issued license with 35 full-time caregivers per shift. Dining, housekeeping, transportation and activities programming are included in the base fee. Occupancy stands at 94.0% with an average resident length of stay of 11 years. Operating expenses totaled $140,000 or approximately 16.17 per square foot, with real estate taxes representing the largest line item.

The community provides assisted living and memory care services under a state-issued license with 29 full-time caregivers per shift. Average monthly revenue per occupied unit is $5,258, inclusive of base rent and levels of care. Dining, housekeeping, transportation and activities programming are included in the base fee. Management fees are calculated at 4.2% of collected revenue and are included in operating expenses. Debt service coverage ratio was 5.96x on a trailing basis against a covenant minimum of 1.20x.

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Certification

I certify that, to the best of my knowledge and belief, the statements of fact contained in this report are true and correct and that I have no present or prospective interest in Newport Assisted Living and no personal interest with respect to the parties involved.

The analyses, opinions and conclusions are limited only by the reported assumptions and limiting conditions. The inspection of the property was performed on April 14, 2019.

Raymond Harper, CPG

Stone & Marsh Appraisal

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